

Data Analysis to Answer Questions

Session 1

Agenda

- **Defining Data Analysis Questions**
- **Applying Sorts & Filters Using Python**

Define Data-Analysis Questions

Defining Data-Analysis Questions

Introduction:

- Crafting **clear, actionable data-analysis questions** is essential for informed decision-making.
- It's about **translating objectives** into tangible queries that data can address

Expansion:

- Effective data analysis starts with **well-defined questions** that reflect the desired outcomes.
- The better scoped a question is, the more likely the analysis will yield useful insights.

Example Scenario: Poorly Defined vs. Well-Defined Questions



Poorly Defined Question:

"Why are our sales down?"

Outcome: This question is vague and lacks specifics, making it difficult to identify the root cause. Analysis may yield broad insights but won't lead to actionable steps.



Well-Defined Question:

"What factors contributed to a 20% decrease in sales for our electronics category in Q2 compared to Q1?"

Outcome: This question specifies the category (electronics), the timeframe (Q2 vs. Q1), and the exact issue (20% decrease). Analysis can focus on relevant data, such as customer feedback, competitor pricing, and marketing efforts, leading to targeted strategies for improvement.

Key Steps for Defining Data-Analysis Questions

1- Define Objectives :

- Understand **challenges**, **decisions**, and **desired outcomes**.
- Engage stakeholders to clarify **goals** and **expectations**.
- Objectives should be **SMART** (Specific, Measurable, Achievable, Relevant, Time-bound).

SMART Criteria for Setting Objectives

The SMART criteria help ensure that objectives are well-defined and actionable. Each component serves a specific purpose in guiding effective goal-setting.

S - Specific

- **Explanation:** Objectives should be clear and specific, answering the who, what, where, when, and why. A specific goal eliminates ambiguity and provides a clear direction.
- **Context:** For instance, instead of saying "Increase sales," a specific objective would be "Increase online sales of product X by 15% within the next quarter."

M - Measurable

- **Explanation:** There should be measurable indicators to track progress and determine when the objective has been achieved. This helps in evaluating the success of efforts.
- **Context:** An objective like "Improve customer satisfaction" can be measured through surveys or Net Promoter Scores (NPS), e.g., "Achieve an NPS of 50 by the end of the year."

SMART Criteria for Setting Objectives

A – Achievable

- **Explanation:** The objective should be realistic and attainable, considering available resources and constraints. This criterion ensures that the goal is within reach, which boosts motivation.
- **Context:** Instead of aiming to "double sales in one month," a more achievable goal might be "Increase monthly sales by 10% over the next six months."

R – Relevant

- **Explanation:** Objectives must align with broader business goals and be relevant to the organization's mission. This ensures that the efforts contribute meaningfully to overall success.
- **Context:** A relevant objective might be "Launch a new marketing campaign for product Y to target millennials," which aligns with a company's strategy to capture a younger demographic.

SMART Criteria for Setting Objectives

T - Time-bound

- **Explanation:** A deadline should be established for achieving the objective, creating urgency and prompting action. This prevents objectives from being open-ended and helps prioritize tasks.
- **Context:** An objective like "Reduce customer complaints by 20% by the end of Q2" gives a clear timeframe, motivating teams to act within a specified period.

Key Steps for Defining Data-Analysis Questions

Example:

- Objective: "Increase customer retention by 15% over the next quarter".
- **SMART:**
 - **Specific:** Increase customer retention.
 - **Measurable:** 15% increase.
 - **Achievable:** Focus on high-priority customers to ensure the goal is realistic.
 - **Relevant:** Linked to overall business goals of improving customer retention.
 - **Time-bound:** To be achieved by the end of the quarter.

Key Steps for Defining Data-Analysis Questions

2- Assess Data:

- Evaluate **available data**, its sources, quality, and relevance.
- Consider the **variety**, **volume**, and **velocity** of data to determine its usability.
- Identify any **gaps** or limitations in the data that may impact the analysis.

Example:

- **Available data:** Customer demographic info, transaction history, churn rates.
- **Limitation:** No data on customer satisfaction post-purchase.

Key Steps for Defining Data-Analysis Questions

3- Craft Questions:

- Create specific, **measurable**, and **actionable** queries aligned with objectives and data.
- Questions should focus on the **variables** that are most relevant to the objectives.
- Consider the level of **granularity** needed and any potential biases in the data.

Example Questions:

- How does **customer age** influence purchase frequency?
- What is the impact of **loyalty programs** on customer retention rates?
- Do **sales promotions** increase the likelihood of returning customers?

Key Steps for Defining Data-Analysis Questions

4- Iterate and Adapt:

- Maintain flexibility for **evolving insights** and changing circumstances.
- Regularly review and refine **data-analysis questions** as new information emerges.
- Adapt questions based on **feedback**, emerging trends, or shifts in organizational priorities.

Example:

- Initial question: “What is the best time of year to run promotions?”
- “Revised question: “What time of year do promotions lead to the highest return customer rate in specific product categories?”

Strategies for Identifying Actionable Questions

- Start by breaking down **business goals** into measurable outcomes.
- **Collaborate with stakeholders** to prioritize questions.
- Assess **available datasets** to ensure the data is sufficient for analysis.

Example:

- For a retail company:

Question: How does customer age affect purchasing habits in different regions?

Data: Customer demographics, sales data.

- For a hospital:

Question: Does patient wait time correlate with satisfaction scores?

Data: Patient records, and feedback forms.

Scoping Questions Based on Available Data

- Evaluate the quality of **data sources** and ensure the data matches the scope of the question.
- For larger questions, consider **segmenting** them into smaller, more specific questions.

Tips for Scoping:

- Ensure the question can be answered with **existing datasets**.
- Be clear on what **data format** (e.g., structured, unstructured) you have.
- Align questions with **actionable insights** that can influence decision-making.

Well-Scoped Questions Example

- **Scenario 1: E-commerce Platform:**

Objective: Increase sales by improving the customer experience.

Well-scoped question: Which products are abandoned in carts most frequently, and how do promotions affect cart recovery rates?

- **Scenario 2: Healthcare Provider**

Objective: Reduce patient readmission rates.

Well-scoped question: What patterns in patient history are most predictive of hospital readmission within 30 days?

Iterating and Adapting Questions

- Maintain **flexibility** for evolving insights and changing circumstances.
- Regularly **review and refine** questions as new information emerges.
- Adapt questions based on **feedback**, emerging trends, or shifts in priorities.

Iterating and Adapting Questions

Example Scenario

Initial Question:

- "What are the sales trends for Product A over the past year?"

Findings:

- After analyzing the initial data, analysts discover that a recent marketing campaign significantly increased sales in specific demographics, such as millennials.

Adapted Question:

- "How did the marketing campaign impact the sales trends of Product A among millennials over the past year?"

Impact of the Change:

- By adapting the question to focus on the impact of the marketing campaign on a specific demographic, analysts can uncover insights that help the marketing team understand the effectiveness of their strategies. This leads to data-driven decisions, such as optimizing future campaigns for similar audiences, which could further enhance sales and customer engagement.

Applying Sorts & Filters Using Python

Basic Sorting Techniques

- **Single Column Sort:** Use *sort_values()* to organize data based on one column.

```
import pandas as pd

# Creating DataFrame
data = {'Name': ['John', 'Anna', 'James', 'Linda'],
        'Age': [28, 22, 35, 32],
        'Salary': [50000, 62000, 55000, 48000]}
df = pd.DataFrame(data)

# Sorting by age
sorted_df = df.sort_values(by='Age', ascending=True)
sorted_df
```

	Name	Age	Salary
1	Anna	22	62000
0	John	28	50000
3	Linda	32	48000
2	James	35	55000

Basic Sorting Techniques

- **Multiple Columns Sort:** Extend sorting to multiple columns to refine your data views.

```
# Sorting by age, then salary  
sorted_df = df.sort_values(by=['Age', 'Salary'], ascending=[False, True])  
sorted_df
```

	Name	Age	Salary
2	James	35	55000
3	Linda	32	48000
0	John	28	50000
1	Anna	22	62000

Basic Sorting Techniques

Task: Sort a provided dataset by salary in descending order.

Advanced Sorting Techniques

- **Sort by Index:** Utilize `sort_index()` for organizing data based on DataFrame index.
- **Conditional Sorting:** Apply conditions to sorting, such as custom functions.

```
# Sorting by index
index_sorted_df = df.sort_index(ascending=False)
index_sorted_df
```

	Name	Age	Salary
3	Linda	32	48000
2	James	35	55000
1	Anna	22	62000
0	John	28	50000

```
# Custom sort using lambda
custom_sort = df.sort_values(by='Name', key=lambda col: col.str.lower())
custom_sort
```

	Name	Age	Salary
1	Anna	22	62000
2	James	35	55000
0	John	28	50000
3	Linda	32	48000

Advanced Sorting Techniques

Task: Sort a dataset first by a categorical column in descending order, then by a numerical column.

Basic Filtering Techniques

- **Simple Condition Filters:** Apply conditions directly to DataFrame columns.
- **Logical Operators:** Combine multiple conditions using AND (&), OR (|).

```
# Simple filter
```

```
young_professionals = df[df['Age'] < 30]  
young_professionals
```

	Name	Age	Salary
0	John	28	50000
1	Anna	22	62000

```
# Combined conditions
```

```
high_earning_young = df[(df['Salary'] > 50000) & (df['Age'] < 30)]  
high_earning_young
```

	Name	Age	Salary
1	Anna	22	62000

Basic Filtering Techniques

Task: Filter for employees who earn more than \$50,000 and are under 30 years old.

Advanced Filtering Techniques

Filtering Using **isin()** is useful when you want to filter rows where a column's value is in a list of specific values.

Filtering with **str.contains()** for Text Matching This is used when you want to filter rows based on whether a string contains a specific substring.

```
# Filter rows where the 'Name' is either 'Anna' or 'John'
filtered_df = df[df['Name'].isin(['Anna', 'John'])]
filtered_df
```

	Name	Age	Salary
0	John	28	50000
1	Anna	22	62000

```
# Filter rows where 'Name' contains the letter 'a'
filtered_df = df[df['Name'].str.contains('a', case=False)]
filtered_df
```

	Name	Age	Salary
1	Anna	22	62000
2	James	35	55000
3	Linda	32	48000

Advanced Filtering Techniques

- **Using query() Method:** Perform complex filters using a string expression.
- **String Methods in Filters:** Use string methods for pattern-based filtering.

```
# Using query
query_filtered = df.query('Salary > 50000 and Age < 30')
query_filtered
```

	Name	Age	Salary
1	Anna	22	62000

```
# Filtering with string methods
j_names = df[df['Name'].str.startswith('J')]
j_names
```

	Name	Age	Salary
0	John	28	50000
2	James	35	55000

Advanced Filtering Techniques

- **Filtering with `between()`** filters data between two values, inclusive.
- **Filtering Using a Custom Function (`apply`)** You can also apply a custom function to filter rows based on more complex logic.

```
# Filter rows where 'Age' is between 25 and 35
filtered_df = df[df['Age'].between(25, 35)]
filtered_df
```

	Name	Age	Salary
0	John	28	50000
2	James	35	55000
3	Linda	32	48000

```
# Define custom function to filter rows where 'Salary' is above average
def filter_high_salary(row):
    return row['Salary'] > df['Salary'].mean()

# Apply custom function
filtered_df = df[df.apply(filter_high_salary, axis=1)]
filtered_df
```

	Name	Age	Salary
1	Anna	22	62000
2	James	35	55000

Advanced Filtering Techniques

Task: Apply `query()` to filter employees whose age is less than the average age of the workforce.

Let's Practice

E-commerce Transactions Hand-on Exercise

Use this simulated data that represents transactions from an online retail store.

```
data = {  
    'CustomerID': [12345, 12346, 12347, 12348, 12349, 12350, 12351, 12352, 12353, 12354],  
    'OrderID': [1001, 1002, 1003, 1004, 1005, 1006, 1007, 1008, 1009, 1010],  
    'Product': ['T-shirt', 'Bicycle', 'Water bottle', 'Backpack', 'Sunglasses', 'Notebook', 'Tablet', 'Smartphone',  
    'Camera', 'Headphones'],  
    'Quantity': [2, 1, 5, 2, 1, 4, 1, 1, 1, 2],  
    'UnitPrice': [15.00, 200.00, 8.00, 45.00, 25.00, 12.00, 350.00, 700.00, 250.00, 75.00],  
    'PurchaseDate': ['2022-07-15 08:30:00', '2022-07-15 09:00:00', '2022-07-16 10:00:00',  
        '2022-07-16 11:30:00', '2022-07-17 12:45:00', '2022-07-18 13:00:00',  
        '2022-07-19 14:25:00', '2022-07-20 15:45:00', '2022-07-21 16:00:00',  
        '2022-07-22 17:35:00'],  
    'Country': ['USA', 'Canada', 'UK', 'USA', 'Australia', 'India', 'Germany', 'France', 'Spain', 'Italy']  
}  
df = pd.DataFrame(data)
```

E-commerce Transactions Hand-on Exercise

Tasks:

1- Identify the Top 10% Customers.

2- Analyze Sales Events:

- Filter transactions that occurred during major sales events, like Black Friday or annual sales.
- Observe purchasing patterns during these periods to identify popular products or buying trends.

E-commerce Transactions Hand-on Exercise

```
# Calculate total spend per customer
```

```
df['TotalSpend'] = df['Quantity'] * df['UnitPrice']  
top_spenders_threshold = df['TotalSpend'].quantile(0.90)  
top_spenders = df[df['TotalSpend'] >= top_spenders_threshold]  
print(top_spenders)
```

```
# Assuming sales events dates are known
```

```
sales_events_dates = pd.to_datetime(['2022-11-25', '2022-11-28']) # Example dates for Black Friday  
and Cyber Monday  
df_sales_events = df[df['PurchaseDate'].dt.floor('D').isin(sales_events_dates)]  
print(df_sales_events)
```

Any Questions ?

Thank You